

What is Globalisation?

Globalisation involves the world becoming one market as a result of a reduction in the barriers to the movement of goods and services, direct and portfolio investment and workers. The world is becoming more like one country where there are fewer restrictions on where people buy products from, where they set up firms and where they work.

Households now buy products from a wide range of countries, stock exchanges sell shares and government bonds throughout the world and MNCs spread their production throughout the world. There is currently more restriction on the movement of workers, but a number of countries are heavily reliant on migrant labour and within trade blocs there is usually the opportunity for workers to work and stay in any member country.

The causes of Globalisation

The breaking down of barriers between product, capital and labour markets in different countries has resulted from four main reasons. One reason is advances in communications and technology. This has made it easier for firms to keep in contact with their production plants from a greater distance and to co-ordinate the production process across the world. As a result, there has been a growth in the number and influence of MNCs. Advances in communications and technology have also made it easier for households to buy products and firms to sell their products to countries throughout the world.

Linked to advances in technology are improvements in transport. Greater speed, more reliability and lower cost of transport have made it cheaper and easier to move parts between factories and for households to buy goods from other countries.

The third reason is the removal of some trade restrictions. Removing tariffs, for instance, enables firms to compete on more equal terms and so can promote international trade.

The fourth reason is the removal of restrictions on the countries in which a firm can base part of its production. Some countries still have some limits on, for example, foreign firms buying out domestic firms or foreign firms setting up in the countries, but these limits have declined in recent decades.

Indicators of Globalisation

Globalisation can be measured in a number of different ways. One is to consider how world trade has grown in comparison to world output. The world trade to world output ratio is also examined. A connected indicator is the exports to GDP ratio of different countries. This can indicate how integrated individual countries are in the global economy.

Flows of portfolio and direct investment can be examined. A popular indicator, as shown in Figure 53.2 with the exports to GDP ratio, is the FDI to GDP ratio. This again can be measured for an individual country or for the world. Flows of migrant workers and international migration of figures are also considered.

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The consequences of Globalisation

Globalisation can drive economic growth. It can encourage countries, and regions within those countries, to specialise in what they are best at producing. A country that makes greater use of comparative advantage should increase global output which can, in turn, increase living standards.

Where firms in different countries are allowed to compete on more equal terms, through the removal of trade restrictions and lower transport costs, lower prices which would increase consumer surplus may result. Consumers may also benefit from a greater variety of products.

The free movement of direct and portfolio investment has the potential to reduce income inequality between countries. If, for instance, an MNC sets up in a low-income country, it may help to raise productivity and wages throughout the country.

However, there are some potential disadvantages of Globalisation. One is that it can create structural unemployment. This is because while opening up an economy to greater international competition will cause some industries to expand, it will also cause some industries to decline. If workers who lose their jobs are not mobile, they may remain unemployed for some time.

Countries are more susceptible to demand and supply-side shocks when they become more closely linked with other economies. These may be negative shocks. For instance, a natural disaster in a major supplier of a country's raw materials could cause disruption to the output of one of its important industries. The free flow of portfolio and direct investment will create the risk that it can be withdrawn quickly, causing a negative multiplier effect.

The increase in competition from other countries and greater mobility of factors of production can constrain domestic government policy. If, for instance, other governments are setting low tax rates, it may make it difficult for a government which wants to spend more to reduce poverty in the country. There is the possibility that there may be a reduction in the provision of social welfare. Globalisation may also make it difficult for a government to implement stricter pollution controls, as some MNCs may threaten to leave the country. Globalisation creates a greater need for international co-ordination of policies, but this is not always easy to achieve.

Just as some individuals in a country can benefit while others lose out some countries gain and some countries can be disadvantaged by Globalisation. Figure 53.3 shows the ten countries that are thought to have benefited the most from Globalisation in recent years.

A number of countries have lost out on the benefits of Globalisation. For example, in recent years, Burundi has experienced very low and negative economic growth and exports only 5% of its GDP.

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(Real = Prices in 2000)

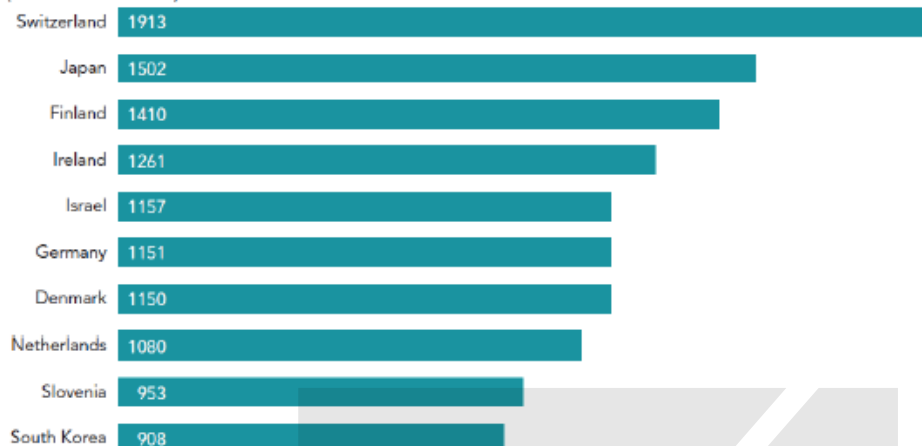


Figure 53.3: The top ten beneficiaries from globalisation between 1990 and 2016 (based on average annual gain in real GDP per capita (\$) due to increasing globalisation)

Trade blocs

A large part of the breaking down of barriers to trade and the movement of portfolio and direct investments and workers between countries takes place within trade blocs. There are a number of types of **trade blocs**. A trade bloc is a regional grouping of countries that have preferential trade agreements between member countries. The following are four of the main trading blocs, each with a deeper stage of economic integration.

Free trade areas

In a free trade area, the governments of the member countries agree to remove trade restrictions between each other. The members are allowed to determine their own external trade policies towards non-members and do not share a common external tariff. An example of a free trade area is the one between the USA, Canada and Mexico. The three countries signed the US-Mexican-Canadian Agreement (USMCA) in 2019. This replaced the North American Free Trade Agreement (NAFTA), which was signed in 1994.

Customs union

A customs union goes a stage further than a free trade area in terms of economic integration. As well as removing trade restrictions between members, members of a customs union agree to impose a common external tariff on trade with non-members. The world's oldest customs union is the Southern African Customs Union (SACU) which was established in 1910. Its members include Botswana, Lesotho, Namibia & South Africa. These countries impose the same tariff on goods being imported from outside the trading bloc. The countries share tariff revenues and coordinate some trading policies.

Monetary union

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A monetary union includes even more economic integration. In this case, restrictions are usually removed on the movement not only of goods and services, but also capital and labour. The aim is to create a single market across members. The key feature of a monetary union is that the member countries all use the same currency and follow the same monetary and exchange rate policies. The European Union (EU) is even more integrated. It operates a single market and its members have adopted the same policies on a number of labour market and social issues. Many of the members have adopted the same currency, the euro, and the European Central Bank operates a single interest rate.

Full economic union

A full economic union is the final stage of integration. A full economic union involves the members having the same currency and following the same monetary, fiscal and exchange rate policies. In effect, the different economies become one economy. This occurred when the 13 original states formed the United States of America in 1776.

Trade creation

Membership of a trade bloc may result in trade creation. Trade creation occurs when the removal of tariffs allows members to specialise in those products in which they have a comparative advantage. More expensive domestic products can be replaced by imports from another member country that are lower in price. The efficient firms within the trade bloc will be able to sell to a larger market and this may enable them to lower prices even further because they will be able to take greater advantage of economies of scale.

Figure 53.8 shows the effect of trade creation. Before joining the trade bloc, the price of the product in the country is P and the quantity consumed is Q . Of this amount, Q_a is supplied by domestic producers and $Q - Q_a$ amount is imported. When the country joins the trade bloc, it can import the product without paying the tariff. This pushes down the price to P_1 and the amount consumed increases to Q_1 . Consumers clearly gain from the lower price and the greater quantity consumed. Domestic producers lose as their sales fall and they gain a lower price.

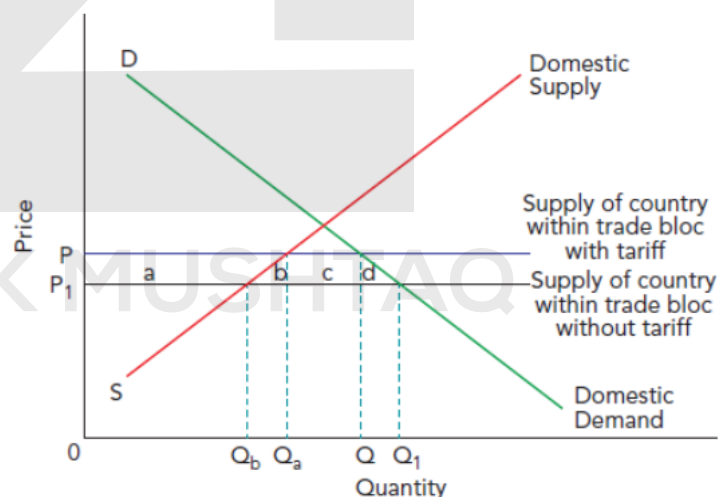


Figure 53.8: Trade creation

However, they may be shifting resources to making products that have now become more price competitive relative to those of member countries, because of the removal of other tariffs. Indeed, trade creation permits both imports to be purchased more cheaply but also additional

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exports to be sold as other members lose their tariff protection. The domestic government will lose out on tariff revenue but there is nevertheless a welfare gain.

The lower price increases consumer surplus by a, b, c and d amount. Producer surplus falls by a amount and tariff revenue by c amount, giving a net gain of b and d amount.

Trade diversion

Trade diversion occurs when membership of a trade bloc results in a country buying imports from a less efficient country within the trade bloc rather than from a more efficient country outside the trade bloc. Trade diversion results in a less efficient allocation of resources. Efficient countries outside the trade bloc may lose as they are not now able to trade on equal terms. A country joining the trade bloc may also lose. Figure 53.9 shows that originally the country buys a product from the most efficient country and places a tariff on imports of the product.

The price paid is P , the quantity consumed is Q and the tax revenue earned is $c + e$. When the country joins the trade bloc, trade is diverted to a member country. The price to consumers falls to P_1 and the quantity consumed rises to Q_1 . Consumer surplus increases again by a, b, c and d amount. Producer surplus falls by a amount, but this time, tariff revenue will fall by c and e amount. Welfare will be reduced if the areas b and d are smaller than area e.

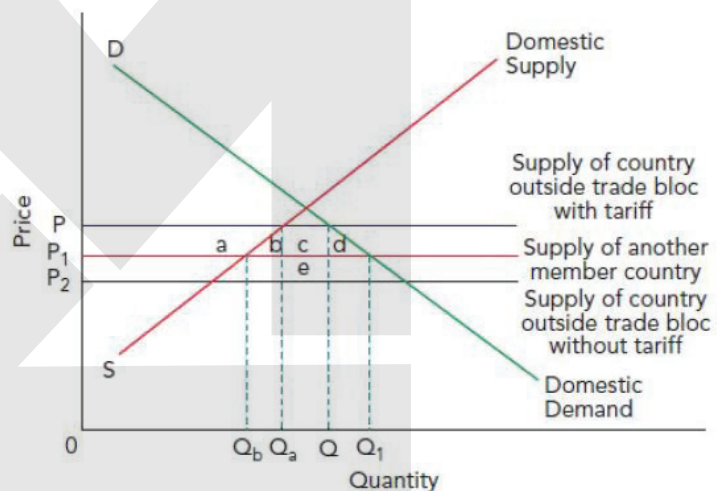


Figure 53.9: Trade diversion

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